Date:	**1/24/2026 9:46:07 AM**
From:	**"Sinai, Julie" JSinai@berkeleyca.gov**
To:	**"jsinai@comcast.net" jsinai@comcast.net**
Subject:	**Fw: Berkeley CA Housing Overview**
Attachment:	**BFC_MeasureU1_06.12.25.2pptx.pdf;**

Get Outlook for iOS

From: White, David <DWhite@berkeleyca.gov>
Sent: Friday, January 23, 2026 4:19:50 PM
To: Ishii, Adena <AIshii@berkeleyca.gov>; Sinai, Julie <JSinai@berkeleyca.gov>
Cc: Joe Hansen <jhansen@townsendpa.com>
Subject: Berkeley CA Housing Overview

Attached is a presentation that our Health, Housing, and Community Services Department prepared last year, so it's still pretty fresh that provides an overview of a lot of the housing work we do. It also includes our pipeline of projects. I hope this is helpful. Regarding some other discussion points:

- Berkeley does not participate in the Federal Prohousing Incentive Program
- HOME funds. The City makes HOME funds available for affordable housing project rehabilitation opportunities

Let me know if you have any questions regarding this email, my best chance to get any additional info from staff is by the end of the day today.

David White (he/him)
Deputy City Manager
dwhite@berkeleyca.gov
berkeleyca.gov | newsletter | Instagram | Bluesky | LinkedIn

City of Berkeley Department of Health, Housing, and Community Services

Enhancing Community Life and Supporting Health and Wellness for All



Housing & Community Services



Measure U1
Budget Overview





BACKGROUND

Measure U1

Business License Tax Increase

Passed in 2016

Measure U1		
Result	Votes	Percentage
✔ **Yes**	**43,014**	**74.93%**
No	14,389	25.07%

BACKGROUND

Measure U1
Business License Tax Increase

To Fund Programs that:

- Increase Affordable Housing
- Protect Residents from Homelessness

- **Permanent** increase in the business license tax on owners of five or more residential rental units 1.081% to 2.880%

.

- **Prohibited** landlords from passing the tax on to sitting tenants.

- **Exempted** rent-controlled and affordable housing units; and new rental units would be for the first 12 years.

Measure U1 - Sources and Uses

SOURCES

- **Measure U1 Tax Revenue**
- **Annual Average 2018-2024 = 5.4M**
- **Estimated Annual 2025-2026 = 6.5M**

USES

- **Personnel:** HHCS, Finance, Empty Homes Tax
- **Housing Trust Fund Program**
- **Anti-Displacement Programs**
- **Emerging Developer Capacity Building**
- **Other City Priorities**
- **Budget Balancing Strategies**

SOURCES AND USES

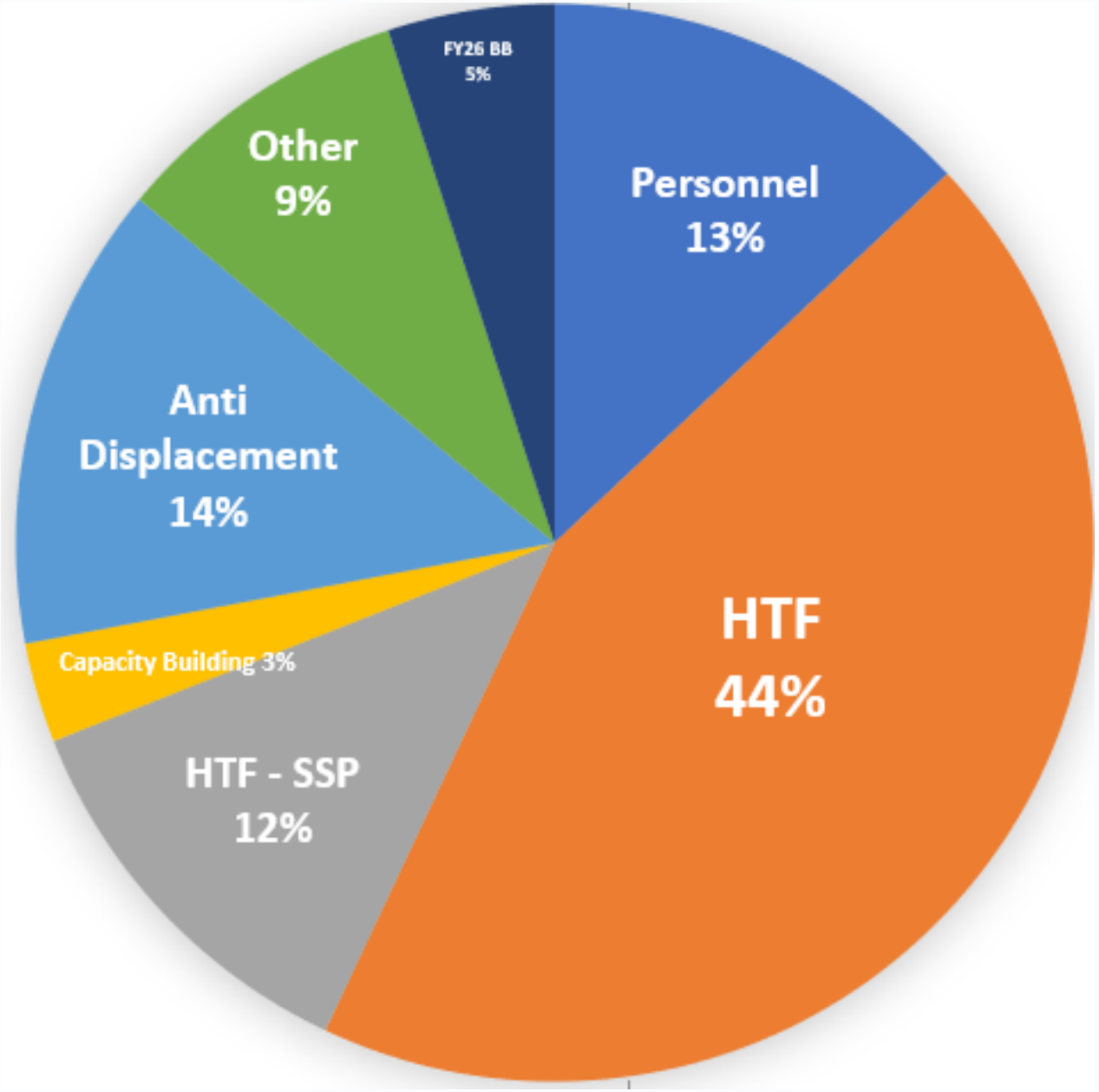
	ACTUALS FY 2018-2024	Projected/Proposed 2025	2026	TOTAL
TOTAL SOURCES	**37,927,323**	**6,500,000**	**6,500,000**	**50,927,323**
USES				
Personnel				
HHCS	**1,217,103**	983,662	1,483,429	**3,684,194**
Finance	**1,582,817**	244,007	436,825	**2,263,649**
Empty Homes/RB	**94,650**	274,000		**368,650**
Total Personnel	**2,894,569**	**1,501,669**	**1,920,254**	**6,316,493**
Housing Trust Fund				
HTF - New/Rehab	**14,038,814**	121,142	7,437,701	**21,597,657**
SSP - Acq/Rehab	**3,096,423**	3,103,331	-	**6,199,754**
HTF Uncommitted			553,329	**553,329**
Total HTF	**17,135,237**	**3,224,473**	**7,991,030**	**28,350,740**
Emerging Developer Capacity Building	**900,000**	**200,000**	**200,000**	**1,300,000**
AntiDisplacement Progr	**5,109,341**	**900,000**	**900,000**	**6,909,341**
Other City Priorities	**4,488,489**		-	**4,488,489**
FY26 Budget Balancing			**2,500,000**	**2,500,000**
TOTAL USES	**30,527,637**	**5,826,142**	**13,511,284**	**49,865,063**

FY 18-24 ACTUAL
Rev = $38M
Exp = $30.5M

FY 2025 PROJECTED
Rev = $6.5M
Exp = $5.8 M

FY 2026 PROJECTED
Rev = $6.5M
Exp = $13.5M

FY26 Unallocated Ending Fund Balance (P)
$1.06M



SOURCES AND USES

Uses by Category 2018-2026

CATEGORY	AMOUNT	%
Housing Trust Fund	$ 22.2M	44%
HTF - Small Sites Fund	$ 6.2M	12%
Anti Displacement	$ 6.9M	14%
Personnel	$ 6.3M	13%
Other	$ 4.5M	9%
Capacity Building	$ 1.3M	3%
FY26 Budget Balancing	$ 2.5M	5%
TOTAL	**$ 49.9M**	**100%**

SOURCES AND USES

PERSONNEL

8 FTEs

7 FTEs in HHCS, 1 Frozen

1 FTE in Finance

- **Housing Trust Fund Program Delivery:** including Measure O and Small Sites
- **Anti-Displacement Program:** Program Development and Contract Monitoring
- **Housing Policy:** Policy Development and Implementation
- **Administration:** HHCS Admin/Fiscal, Housing Services, Finance

SOURCES AND USES

Anti Displacement Programs

- Legal Assistance (EDC and EBCLC)
- Housing Retention Program (EDC)
- Flexible Housing Subsidy Pool

	FY 2018	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023	FY 2024
FH Pool	N/A	92	32	10	206	153	100
Pre-Litigation	216	294	305	222	198	348	
Limited Scope Rep	316	255	848	1,045	1,046	834	
Full Representation	78	58	172	122	188	179	
Rental Assistance	N/A	N/A	N/A	N/A	379	257	374

Emerging Developer Capacity Building

Capacity Building grants for Bay Area Community Land Trust (BACLT)

- First grant in FY19
- Funded $850k to date
- To support BACLT's growth and pursuit of new Small Sites Program projects

BACLT outcomes:

- Four full-time staff with benefits
- Acquired three SSP projects so far
- Filled all board seats, plus 3 additional alternate resident seats
- Staff and board professional development
- Updated Strategic Plan and 3-Year Action Plan
- Leveraged outside funding sources
- Expanded staff capacity to engage with residents



SOURCES AND USES

Other City Priorities

Site Acquisition

- 2011 University Avenue
- West Berkeley Shellmound

FY 26 Budget Balancing

SOURCES AND USES

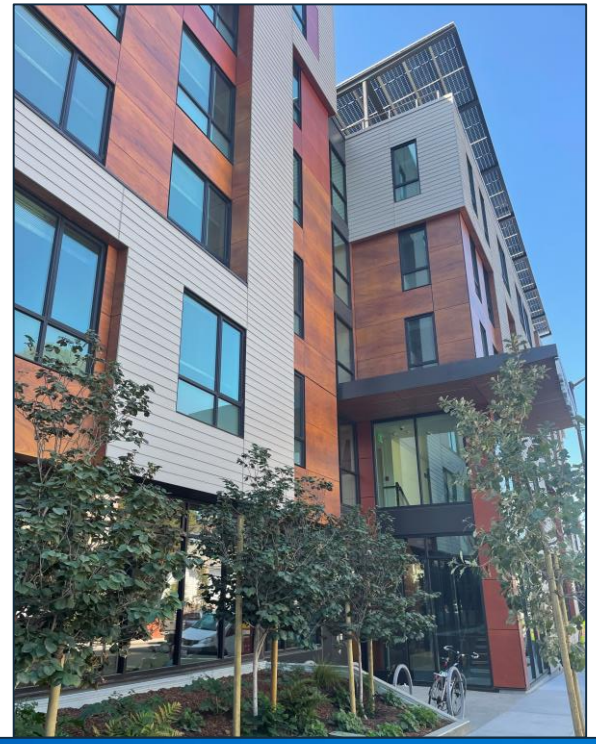
Housing Trust Fund

Projects Funded

- Completed Projects
  - Hope Center TH (44 shelter beds)
  - The Grinnell (63 units)
  - Maudelle Miller Shirek Community (87 units)
- In progress
  - Tenth Street (8 units)
  - 1740 San Pablo (54 units)
  - MLK House (11 SROs)
  - Ephesian Legacy Court (80 units)
  - University Homes (43 units)

Development Costs

- Average City subsidy per unit: $209k
- Average project cost per unit: $930k





SOURCES AND USES

Small Sites Program

Projects Funded

- Completed Projects
  - 1638 Stuart Street (8 units)
  - 1685 Solano Avenue (13 units)
- In progress
  - 2627 California Street (12 units)

Development Costs

- Average City subsidy per unit: $286k
- Average project cost:$459k





Portfolio & Pipeline

Portfolio Projects

- 58 completed and occupied projects
- Representing 1,680 affordable units and 44 shelter beds

Pipeline Projects

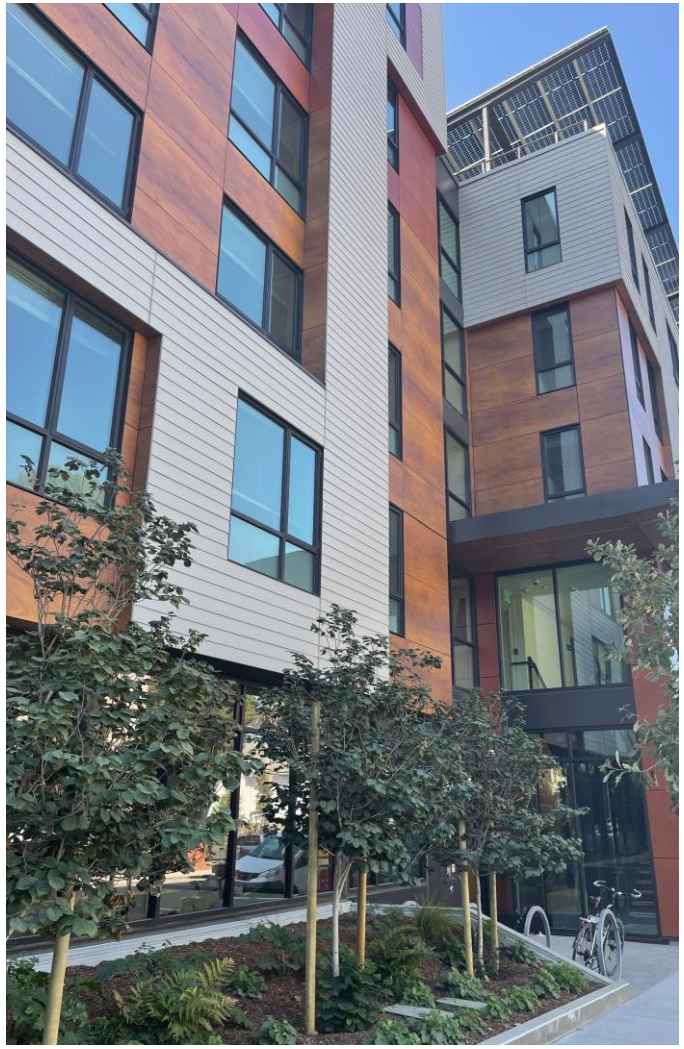
- Under Construction
  - 1 new construction project (110 units)
  - 3 rehab projects (97 units)
- In Predevelopment/Planning:
  - 11 new construction projects (1,174 units)
  - 8 rehab projects (130 newly restricted units, 73 portfolio rehab units)





Housing Trust Fund Program

Project Pipeline



Affordable Housing Project Funding — 6/10/2025

Projects	Units	Encumbered	Reservations	Pending Requests	Project Total
BUSD Workforce Housing	110	26,500,000			26,500,000
Woolsey Gardens	65	1,000,000			1,000,000
Russell Street Renovations	25	4,500,000			4,500,000
Golden Bear Homes (Homekey)	43	8,463,535			8,463,535
University Inn (Homekey 3)	42	8,500,000			8,500,000
2321 10th Street (NCLT)	8	3,324,225			3,324,225
MLK House	11	2,000,988			2,000,988
California Street Apartments	12	3,599,948			3,599,948
NBB BRIDGE Phase 1 Project	120	905,661	10,657,975		11,563,636
NBB EBALDC Project	60	452,830	5,473,534		5,926,364
NBB BRIDGE Insight PSH Project	85	641,509	8,368,491		9,010,000
Ephesian Legacy Court	80	3,556,400	14,531,301		18,087,701
1740 San Pablo	54	7,500,000	4,496,669		11,996,669
St. Paul Terrace	50	3,698,960	12,055,359		15,754,319
Supportive Housing in People's Park	119		14,359,593		14,359,593
Ashby BART Projects*	425		26,500,000		26,500,000
Ashby Lofts	54		850,000		850,000
FY25 Small Sites Program Allocation**	tbd		900,052		900,052
Haste (NCLT)	8		500,000		500,000
NBB BRIDGE Phase 2 Project	116				0
2024 HTF Rehab	TBD			5,867,571	5,867,571
	1487	**74,644,056**	**98,692,974**	**5,867,571**	**179,204,601**

**Estimated affordable units, based on 50% affordability, subject to change based on final BART-City term sheet and developer proposals.*
***Reflects pending request for $500,000 for Maudelle Miller Shirek Community from the FY25 SSP allocation.*

Affordable Housing Funds	Fund Balance	Encumbered	Reservations***	Pending**	Project Total	Unallocated
HTF (AHMF, inclusionary, condo conv, commercial fee, HOME)	43,265,933	12,455,562	26,765,236	4,045,134	43,265,933	-
Measure U1 Allocated to HTF Program	20,220,640	15,224,959	4,995,681	-	20,220,640	-
Measure O - issuances 1 + 2	38,764,735	34,000,000	4,764,735	-	38,764,735	-
Measure O - issuances 3 + 4****	55,330,000	-	53,488,472	-	53,488,472	1,841,528
Measure P Allocated to HTF Program	11,825,341	11,825,341	-	-	11,825,341	-
CA HCD Permanent Local Housing Allocation Funds*****	8,260,631	1,138,194	4,800,000	2,322,437	8,260,631	-
CA HCD Local Housing Trust Funds	3,878,850	-	3,878,850	-	3,878,850	-
	181,546,129	**74,644,056**	**98,692,974**	**6,367,571**	**179,704,601**	**1,841,528**
					Total Unallocated Housing Funds	**1,841,528**
					Total Available Currently (before 3rd + 4th Measure O Issuances)	**-**

****Exact amounts for each source subject to change prior to loan closings.*
*****Funds will be available after the 3rd and 4th issuances, estimated for 2025 and 2027.*
******Includes $3.45M in future PLHA funds for operating support for supportive housing.*

SOURCES AND USES FY2025 and FY 2026

	ADOPTED FY 2025	PROJECTED FY 2025	ADOPTED FY2026	PROPOSED FY 2026
SOURCES				
Starting Fund Balance	**7,399,686**	7,399,686	**8,073,544**	8,073,544
Annual Tax Revenues	**6,500,000**	6,500,000	**6,200,000**	6,500,000
TOTAL SOURCES	**13,899,686**	**13,899,686**	**14,273,544**	**14,573,544**
USES				
Personnel				
HHCS	**1,149,985**	983,662	**1,172,592**	1,483,429
Finance	**417,352**	244,007	**422,266**	436,825
Empty Homes/RB	**372,000**	274,000		
Total Personnel	**1,939,337**	**1,501,669**	**1,594,858**	**1,920,254**
Housing Trust Fund				
HTF-New/Rehab	**-**	121,142	**603,331**	7,437,701
SSP - Acq/Rehab	**3,103,331**	3,103,331	**2,500,000**	-
HTF Uncommitted				553,329
Total HTF	**3,103,331**	**3,224,473**	**3,103,331**	**7,991,030**
Emerging Developer Capacity Building	**200,000**	**200,000**	**200,000**	**200,000**
AntiDisplacement Programs	**900,000**	**900,000**	**900,000**	**900,000**
Other City Priorities			**-**	**-**
FY26 Budget Balancing				**2,500,000**
TOTAL USES	**6,142,668**	**5,826,142**	**5,798,189**	**13,511,284**
EOY FUND BALANCE	**7,757,018**	**8,073,544**	**8,475,355**	**1,062,260**
HTF Commitments EOY	**7,558,843**	**7,437,701**	**6,834,370**	**-**

Summary of Changes for FY26:

- Increased Revenue by $300K
- Updated Personnel to Include Authorized Position, plus one Frozen
- Included Prior Encumb/Commitments
- Transferred $2.5M from SSP to Budget Balancing

Thank you!

Margot Ernst
mernst@berkeleyca.gov

